

9708/m/j/19/v12

1-B:

A-Introduction of more machinery used in the manufacturing process will enhance productivity and cause a “rightward shift” in the production possibility curve.

B- A decrease in productivity will reduce the ability of the economy to produce goods and services causing a “leftward or inward shift in the PPC “ making this correct

C- If scientific methods are applied to farming, this will increase the productive potential ,causing a rightward shift in the PPC

D- Switch from production of consumer goods to capital goods would cause a change in output combinations leading to “movement along the PPC curve”.

2-B:

A: Introduction of tariffs represent an “increase in government intervention”

B: Privatization refers to when government assets are transferred to the hands of the private sector, and since this represents “reduced government control”, it is hinting towards “a more market-focused economy”, thus making this correct.

C: Providing free education for school children again represents the role of the government.

D:Again, reduction in prices of food such as: wheat and rice represents “the role of the government”.

3-A:

A production possibility curve is determined by the quality and quantity of factors of production.

A: Introduction of capital invested in infrastructure would cause a rise in the qty of capital, causing a rightward shift in the PPC.This is why, this option becomes correct

B: The level of prices and wage inflation would influence actual that is the point inside of the PPC.

C: The level of unemployed labor again would influence actual that is the point inside the PPC

D: The volume of imports and exports would impact Balance of Trade and in turn Aggregate demand, leading to “actual being influenced”

4-D:

A: This is not true that “people who pay for education value it more than those who can not pay for it”, thus making this incorrect

B: Nope, this is incorrect that “private schools have more merit than state owned schools”

C: Importantly, this is incorrect as well as the social costs of education do not outweigh its social benefits. It is the other way round , as social benefits of education are very high, as since it is a merit good, which means that it generates external benefits.

D: Due to imperfections , that is, lack of adequate, appropriate and accurate information about the true value these goods present, they are under-consumed, thus making this “correct”

5-A:

S_x represents a straight, vertical line that represents that supply is fixed, and can not be increased in the momentary run, examples include: parking spaces in a parking lot. In such a case, PES is “perfectly inelastic” that is $PES = 0$.

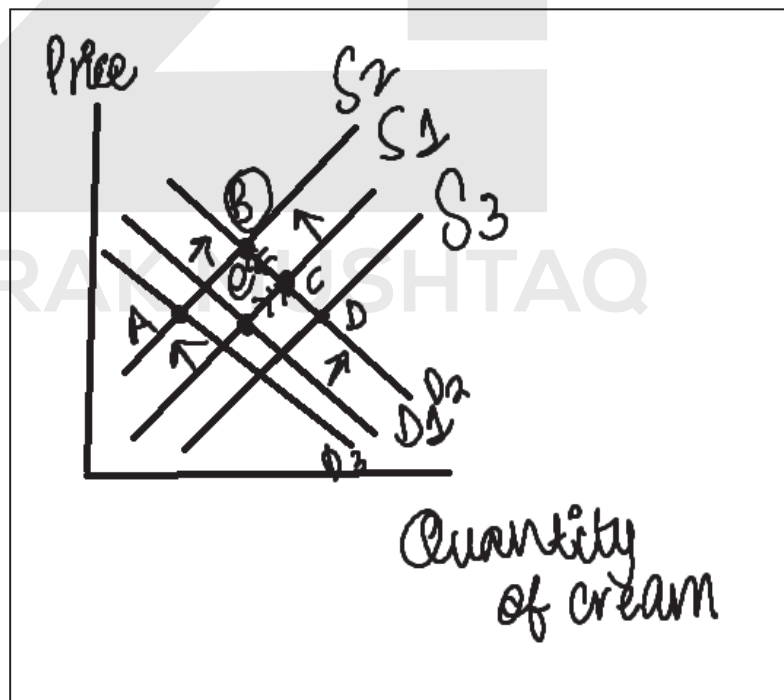
S_y represents a line that is beginning from the vertical axis or the y-axis representing that supply is elastic , or in other words , $PES = >1$

This is why, option A is correct

6(OUT OF SYLLABUS QUESTION)

7-B:

Since strawberry is a complement to ‘cream’ ,a fall in its price will increase the demand for ‘cream’ ,since there is a negative relationship between the price of one good and the demand for another in case of complements. Whereas, a rise in costs of production will lead to a fall in supply, thereby resulting in achievement of a new equilibrium point of B from e. This is shown in the diagram.

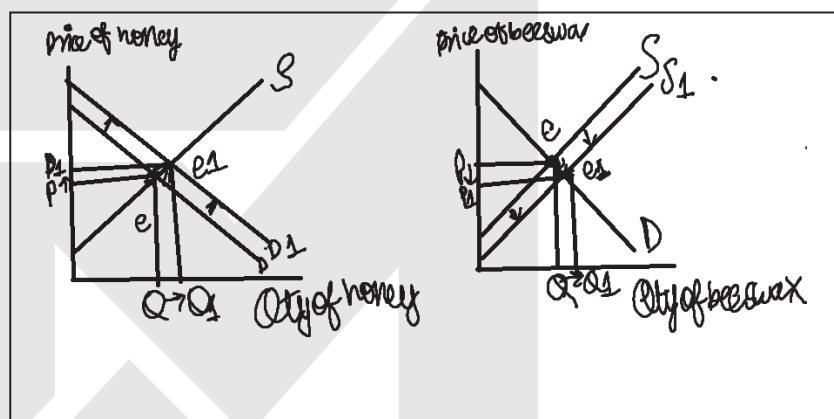


8-C:

A-Hunters and honey-guide birds are not rival consumers since hunters extract wild honey, whereas honey-guide birds are interested in another jointly supplied commodity, that is beeswax.

B-Wild honey and beeswax are not free-goods, instead they are economic goods, since there is an opportunity cost involved, and in principle factors of production are required to obtain them. Moreover, since they are present in a limited supply, the basic condition of scarcity is also present.

C-Honey and beeswax are jointly-supplied goods, since they are produced together but for different purposes. A rise in demand for honey and in turn an increase in honey extraction, will cause an increase in supply of jointly supplied commodity that is beeswax. This can be shown through the diagram in the right.



D-Opportunity cost is the real cost of choosing one thing and not the another, that is the value of 'next best alternative foregone'. Wild honey is not foregone in an attempt to obtain beeswax, therefore making this option incorrect.

9-A:

In the question, the value of income elasticity of demand of (- 0.2) is given **and this negative sign represents "inferior goods"**

A-When income rises, the demand for inferior goods falls, since there is a negative relationship between incomes and demand for inferior goods, making this correct.

B-This is incorrect and represents the situation whereby a particular good is a "normal good" as it is the case of normal goods whereby a rise in incomes causes a rise in demand

C:When price falls, there is an extension in qty demanded, represents "the law of demand"

D: When price rises, there is a contraction in qty demanded, represents the "law of demand"

10-D:

We are interested in an option that causes a “rightward shift or an increase in the demand for normal goods”

A: A decrease in the price of a substitute good will cause a fall in the demand for the good, as now consumers will switch to the rival good, this is because of a “positive relationship between the price of one good and the demand of another “ in case of substitutes.

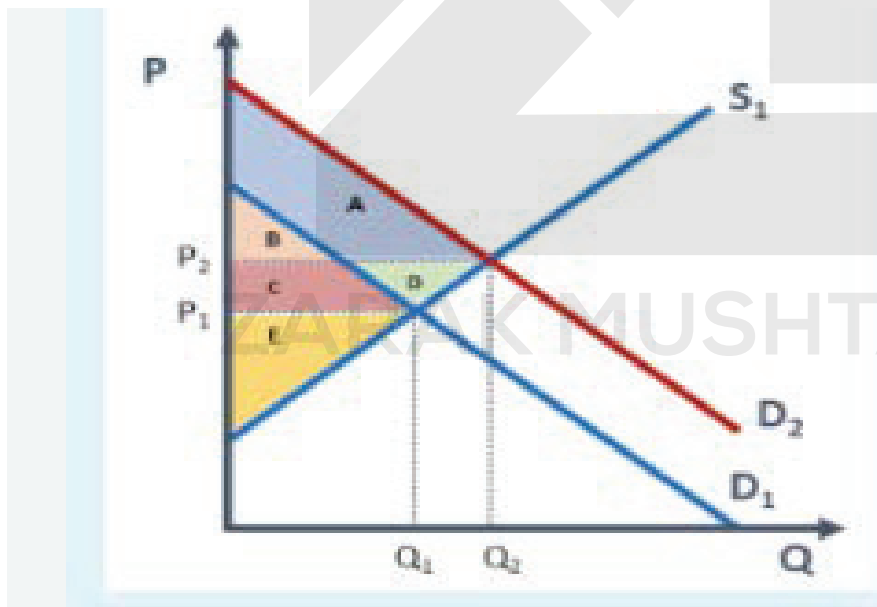
B: A fall in the level of advertising will cause a “fall in the demand “ for the good

C: A rise in the price of the good will cause a contraction in qty demanded, causing a movement along the demand curve, making this incorrect.

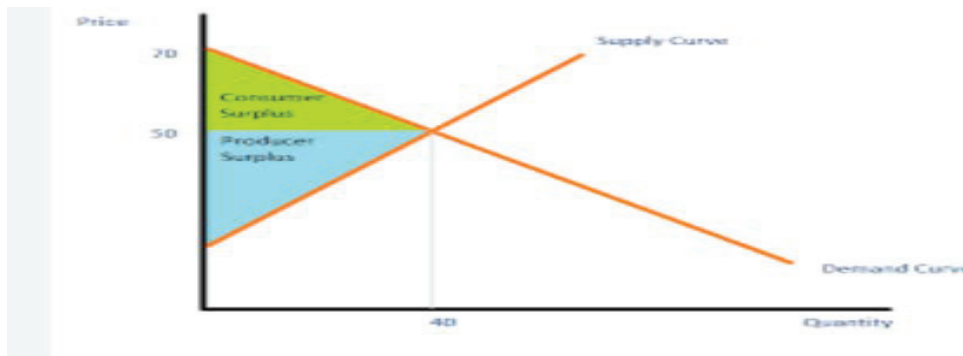
D: An increase in incomes of consumers will cause an increase in demand, or in other words, a rightward shift in the demand curve of normal goods, thus making this correct.

11-A:

A- A rise in incomes will cause a rise in demand for normal goods, which will in turn cause a rise in the willingness of consumers to pay higher prices, subsequently resulting in a rise in consumer surplus, as can be seen below. **The old consumer surplus is “ B+C” and the new consumer surplus is “ A+B”.** This is why, this becomes correct.



B: An increase in the number of “substitute goods “ would lead to the “demand curve of the product being elastic”, as a result of which, the consumer surplus will fall. This can be seen below.



C: Similarly, an increase in price of the complementary good will cause a fall in the demand for the good, and when willingness to pay declines, the consumer surplus falls too.

D: Again , a rise in the price of the product causes the consumer surplus to fall

12-A:

A-Negative cross elasticity of demand represents “complements”. A rise in the price of product Y , will immediately cause a contraction in the qty demand of the complementary good , that is, good X, since there is a “negative relationship between price of one good and qty demanded for another” in case of complements, making this correct.

B:We cannot say if supply of product X will rise, because concept of demand is required as the question is related to “cross elasticity of demand”

C:This option says that the XED will rise, or in other words, the products will become “substitutes” which is absolutely incorrect

D: Because of a fall in the demand for product X, its price will “fall”

13-A:

A: A decrease in consumer incomes will cause a “fall in the demand” for normal goods .And, an increase in the price of a substitute good , will cause a “ rise in the demand” for the product. This will in turn leave the position of the demand curve unchanged.

B: A decrease in consumer incomes will cause a “ fall in the demand” for normal goods. And, an increase in the price of the good causes a movement along the demand curve, making this option incorrect.

C: An increase in consumer incomes will cause a “rise in the demand” for normal goods. And, an increase in the price of a substitute good will cause an increase in the demand for the good too. This is why, this becomes in correct

D: An increase in consumer incomes will cause a rise in demand for the good. But, an increase in the price of the good will cause a “movement along the demand curve”

14-B:

A: Transfer payments are payments made without goods or services being received in exchange.

Advertising expenditure of a firm is against a service received, thus it cannot be a “transfer payment”

B: The allowance given by a parent to their child while at school is a transfer payment since the child would not contribute to output.

C: Rent paid to land-owners is against a service received, thus it cannot be a “transfer payment”

D: Wages paid to a worker is against a service received, thus it cannot be a “transfer payment”

15-D:

A: Consumers switching to cheaper brands of soft drinks with higher sugar content will still lead to individuals being overweight

B: Consumers switching to high sugar substitutes for e.g., alcohol would again not help reduce the number of overweight people.

C: If the PED of drinks is inelastic, imposition of indirect tax after having raised the prices would lead to a contraction in qty demanded by a relatively smaller percentage, still leading to people remaining overweight.

D: If the tax revenue is spent on education campaigns that is advertising, which is in line with the nudge theory aimed at influencing behavioral psychology of individuals, nudging their economic decisions in a “particular direction”, this will lead to individuals being aware about the true harm these goods present, leading to a “fall in demand” **and in the long run, this will contribute to a reduction in the number of “over-weight people”**

16-D:

-Minimum price is a legally imposed price-floor that shows that at least a certain level of price should be maintained, prices can rise but not fall from this level; the objective of a minimum price legislation in a market for rice is to benefit rice farmers who experience instability in their incomes since their fields are subject to pest-attacks, natural-disasters, climatic hazards and health-scares. Through this, the producer surplus increases, and farmers are encouraged to extend quantity supplied in an attempt to maximize Total Revenue

Therefore, we can conclude that in the market for rice, this policy is meant to benefit producers.

-Maximum price represents a legally imposed price-ceiling ,that shows the cap-limit as prices can fall but not rise from this level. The objective of lowering prices through this in a market for heating-oil is to benefit consumers, as basic-necessity items are made affordable ,and their consumer surplus increases and since the quantity-demanded extends by a smaller percentage, because heating oil is an essential item with an inelastic demand, the Total Expenditure decreases. Consumers are able to face inflationary pressures this way.

Therefore, it can be concluded that ‘consumers ‘are meant to be benefitted in a market for heating oil.

-A tax on chewing gum will enable the government to earn tax-revenues which it can utilize for public spending, for example, in provision of merit goods for example: education and healthcare or on infrastructural development.**Therefore,we can conclude that government is meant to be benefitted in a market for chewing gum.**

This is why option D is the answer.

17-B:

A: The government is taking control of the company, that being said, the government control is increasing rather than decreasing.

B:Nationalization of a large producer will lead to a rise in “government control”, thus making this correct.

C: An increase in the role of the consumer represents “consumer sovereignty “ that is only possible in case of privatization as private firms make use of “price mechanism” to determine “resource allocation”

D: Upon “nationalization” , there is a decrease in the amount of competition rather than an increase.

18-B:

A:A tax system whereby all tax payers pay the “same proportion of incomes in tax” represents “proportional tax”

B: In case of regressive taxes, the average rate of tax falls upon a rise in income, which means that this puts a greater burden on the poor, impacting them more, since high income earners pay a lower proportion of their incomes in taxes than low income earners, making this correct.

C:Regressive tax system has to do with “**the proportion of income paid in tax” , rather than the amount**

D: :Regressive tax system has to do with “**the proportion of income paid in tax” , rather than the amount**

19-D:

A: If there is already a high level of demand-pull inflation, then expansionary fiscal and monetary policy would result in a rise in Aggregate demand and when it outpaces Aggregate supply, this would exacerbate shortages and in turn increase inflationary pressures. Importantly, if the govt reduced income taxes when the economy is facing a “current account deficit”, it would have worsened, as a reduction in taxes, when increases disposable incomes would lead to a rise in consumption expenditure, even on “imported goods”

B: If there is already a high level of demand-pull inflation, then expansionary fiscal and monetary policy would result in a rise in Aggregate demand and when it outpaces Aggregate supply, this would exacerbate shortages and in turn increase inflationary pressures.

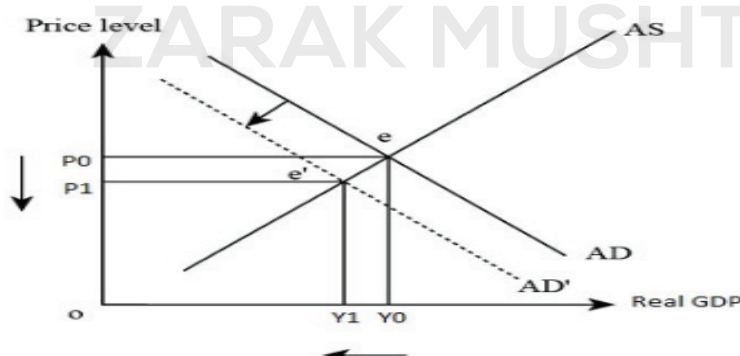
C: The problem here is with the existence of a “current account deficit”. Importantly, if the govt reduced income taxes when the economy is facing a “current account deficit”, it would have worsened, as a reduction in taxes, when increases disposable incomes would lead to a rise in consumption expenditure, even on “imported goods”

D: If there is a high level of unemployment, when taxes for e.g. , income taxes are reduced, this would increase the disposable incomes of individuals , and after having increased consumption expenditure, and in turn Aggregate demand, this would lead to a rise in production and demand for labor, causing a “rise in employment”. A lower interest rate after having reduced costs of borrowing would stimulate “investment”

20-C:

A change in consumption here represents a **fall in consumption expenditure, that would have reduced Aggregate demand, and in turn contributed to a rise in “unemployment”**

This would be shown through “Aggregate demand curve shifting inwards” .A leftward shift in the Aggregate demand curve would result in a “movement down the Aggregate Supply curve”. This can be seen in the diagram below



21-C:

A: Exports of primary commodities represents “trade in goods” which is an item of “current account”

B: Money received from banking services represents “trade in services” which is an item of “current account”

C: Overseas investment is a part of “financial account” and not current account

D: Profits sent back by companies overseas represents “inflows of primary incomes”, which is again a part of “current account”

22-D

A,B,C: Deciding which resources to allocate to production of goods and services, or deciding which goods and services should be provided for international trade, or identifying the opportunity costs of production, are the decisions that will be made first.

D: However, setting an “appropriate exchange rate” will be the final decision, as countries will set an exchange-rate that “lies between the opportunity cost ratios of two countries” for them to benefit from “gains of trade”

23-D:

While drawing an Aggregate demand curve, “price level” and “real income” can be varied.

Whereas, all other factors are assumed to remain constant

The answer can not be “interest rate” because “the interest rate effect” is one reason why Aggregate demand curve slopes downwards.

As the price level rises, households and firms require more money to handle their transactions, as a result of which, the demand for currency will rise. However, the supply of the currency will be fixed. This increased demand for a fixed supply of money causes an “upward pressure” on the price of the money i.e. the “interest rate”, to rise. This is why, this cannot be the answer

Whereas, “Y” that represents “real incomes” which can be changed, also represents “levels of employment or even unemployment”

We clearly know that the “money supply” is held to be constant because the Aggregate demand curve is drawn under the assumption that the government holds money supply constant. Any shift in the “money supply” will always cause a “shift in the Aggregate demand curve”, thus making D the answer.

24-C:

A: This statement is correct since “ domestic demand” , because of a higher price level due to tariffs , after having reduced consumer surplus, will actually fall from “ Q4 to Q3”

B: This is correct as well since “ the volume of imports” will actually contract from q1-q4 to q2-q3.

C: This statement is incorrect as it is not imports, but quantity demanded that is contracting from Q4 to Q3. Therefore, this becomes the right option.

D: This is correct as well as supply of domestic goods is increasing from q1 to q2.

25-A:

Deflation is a persistent and a sustained fall in the general price level of an economy over a given period of time.

A: In a period of deflation, the average price level must fall, thus making this correct.

B: The output of the economy may fall if deflation is a result of a fall in Aggregate demand . But, what if, deflation is associated with rising Aggregate supply , in that case, the real output may “increase”

C: The rate of inflation falling represents “dis-inflation”

D: In a period of inflation, the real value of money would erode , thus making this incorrect.

26-B:

Since a British resident is purchasing a house in US, this represents outflows , or in other words, **imports or debit in the capital account.**

The subsequent effect of this transaction will be the rent being received after having rented that house to an American resident, representing an inflow in the primary income section of the current account, this can be termed as a “current account export”

27-A:

In a floating exchange rate system , the exchange rate is determined by the market forces of “demand and supply of currency on currency markets, without official intervention”, this is why, no other option can be correct but Option A.

28-D:

A- Inflows of foreign direct investment will lead to credit in the capital account, but it has nothing to do with a “trade deficit” since Balance of Trade is a part of “current account”

- B- This is incorrect as a rise in interest rates would increase the incentives to invest in the economy, causing “hot money inflows” to be attracted, and a resultant rise in “demand for currency” will lead to an ‘appreciation of the Exchange rate “. And, in the long-run when the combined sum of elasticities of demand of imports and exports is greater than 1, appreciation would lead to a Balance of Trade deficit.
- C- By raising the interest rates, the **cost of capital borrowing may rise, in turn causing a “reduction in capital borrowing”**
- D- A rise in interest rate after having increased the incentives to save and increased savings as a proportion of household disposable incomes , apart from “reducing domestic consumption, and Aggregate demand”, would lead to a fall in consumption expenditure, even on imported goods, that would reduce the trade deficit

29-B:

In the short run, a rise in govt spending on education and training would increase injections in to the “circular flow” causing a rise in Aggregate demand.

A rise in Aggregate demand would lead to Aggregate demand outpacing Aggregate supply, which results in shortages, and in turn a “rise in the general price level” representing “a rise in demand pull inflation”

Secondly, after increasing production and demand for labor, this would cause a fall in “unemployment”, making option B correct.

30-C:

We are interested in an option that causes a “rightward” shift in the Aggregate supply curve

A: When depreciation makes imported goods appear relatively expensive, this would result in a contraction in qty demanded by a relatively smaller percentage when the demand for them is inelastic, leading to a rise in “import expenditures” and in turn costs that would “cause a leftward shift in the Aggregate supply curve”

B: If tariffs are imposed on imports that cause expenditure on imported goods to switch to domestically produced goods , this would lead to a rise in domestic consumption, resulting in a “rise in Aggregate demand”

C: If labor productivity rises through a rise in training, this would result in an increase in productivity and efficiency , in turn resulting in a fall in costs, causing a “rise in Aggregate supply , leading to a rightward shift in the Aggregate supply curve”. This is why, this becomes correct.

D: If sales taxes rise, this would lead to a rise in “costs of production” resulting in a fall in Aggregate supply